March 2025

The China issue

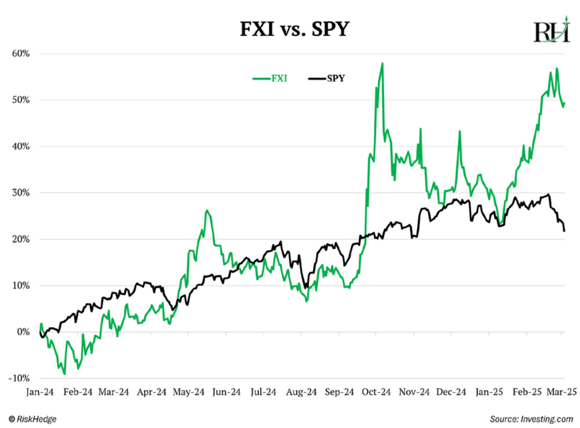
Chinese stocks were a hard pass for over a decade.

Since peaking in 2007, China's main stock index has fallen 40%. Compare that to the S&P 500, which has surged 300%.

The numbers were ugly, and the headlines were worse: communism, corporate scandals, vanishing CEOs, a collapsing property bubble, and an aging workforce.

Every headline screamed, "Stay away!"

But what if I told you China has been among the best-performing markets over the past year? The main **iShares China Large-Cap ETF (FXI)** has jumped 55% since January 2024, more than doubling the S&P's 24% gain:



(*Click to enlarge*)

And yet, the world's still betting against Chinese stocks. Global investors are underweight. Short interest in the big China ETFs is at multiyear highs.

In this month's issue

Key prices

S&P 500	5,778.15
1-Month (Loss) -4.30%	
Nasdaq	18,285.16
1-Month (Loss) -6.96%	
Russell 2000	2,079.53
1-Month (Loss) -7.92%	
Dollar Index	105.73
1-Month (Loss) -1.72%	
US 10-Year Yield	4.261%

A *RiskHedge* Publication

For years, dodging Chinese stocks was a no-brainer. Going forward, I'd argue it's a huge mistake.

Last month, we dug into DeepSeek—China's new artificial intelligence (AI) model that's neck and neck with OpenAI's best.

I've spent the past few weeks meeting with investors, hedge fund managers, and analysts who know China inside and out. The consensus: DeepSeek is just the opening salvo. China's cooking up bigger surprises.

This issue of *Disruption Investor* is a bit different.

Our company's name—RiskHedge—acknowledges what we consider our duty to you, our readers. We position you ahead of big disruptions. Not just to profit, but to hedge against risks. Especially risks that others don't see coming.

The risk we'll talk about in this issue isn't a market crash. Rather, it's a shift that has big US tech companies facing bona fide foreign competitors for the first time this century. We'll talk through it and then suggest an investment to buy to take advantage of it.

To be clear, Chinese companies still raise red flags. Transparency's a punchline. You're never quite sure what's real. But even if you won't touch a single mainland stock, you can't ignore the risk they pose to your portfolio.

Today, Chinese stocks are cheap, hated, and in an uptrend. That's the trifecta for a monster rally. Meanwhile, China's tech game is leveling up fast.

Most investors still consider China "uninvestable" today. But one thing I've learned from many years in markets is that narrative follows price.

Back in 2011, everyone "had to" own China. If this uptrend holds, "uninvestable" will flip to "essential" before you can blink.

It's time to open your eyes to what's truly happening in the world's second-largest economy… and why ignoring China's burgeoning tech sector is no longer a wise move.

China's 2 big government changes

Before diving into China's tech breakthroughs, let's talk about its government. It's still largely a command-and-control economy where the state calls the shots.

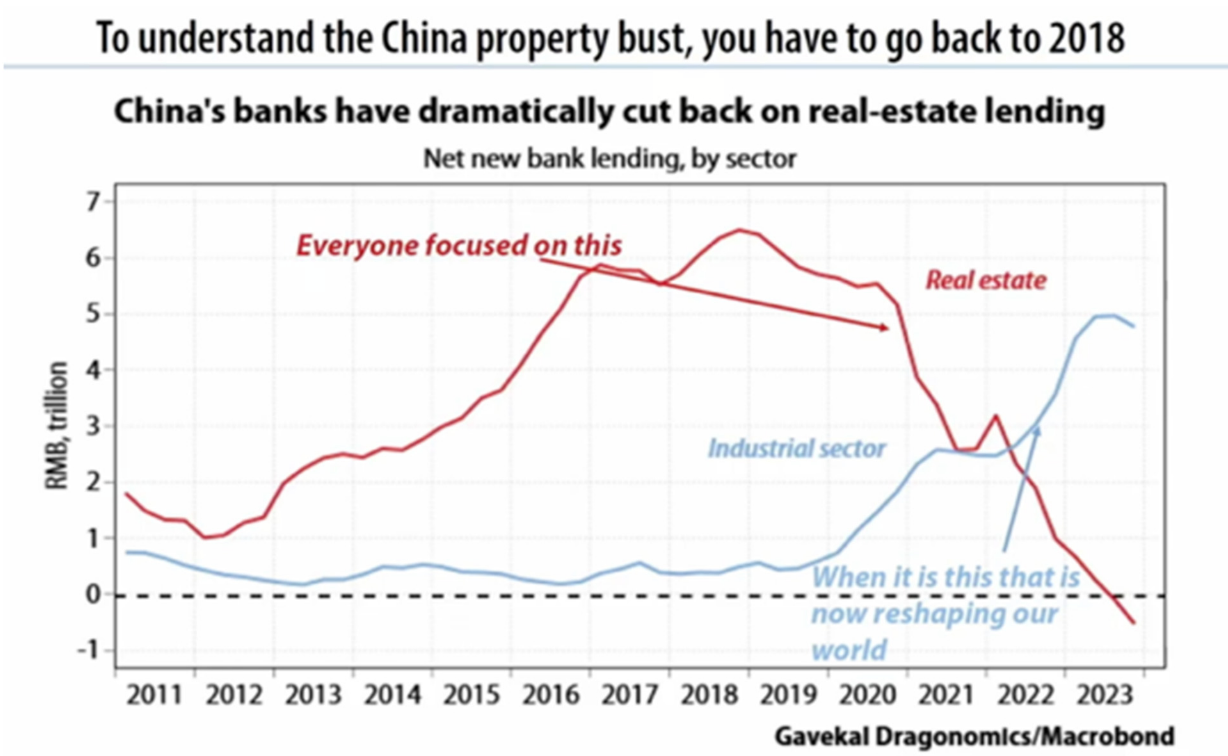
However, there are two major changes investors must understand…

Change #1: From concrete to cutting-edge

China's old playbook was simple: pour concrete, build skyscrapers, lay tracks—real estate and infrastructure ruled. That's why commodities like steel and copper soared in the 2000s.

That all changed in 2018, when US sanctions slammed the brakes on China's access to cutting-edge chips.

China's leadership said, "Enough with the old stuff. Let's build real tech." It cut funding to property developers and instead started lending money to industry and high tech.



Source: Gavekal Research

Change #2: A green light for innovation

For years, the knock on China was that the Communist Party hates tech entrepreneurs. It crushed **Alibaba (BABA)**, fined **Tencent Holdings (TCEHY)**, and cracked down on the broader tech ecosystem.

As I'll explain in a moment, Beijing isn't a huge fan of software (apps and cloud computing), but it loves hardware (electric cars, batteries, and drones). And there's been a huge reembracing of innovators.

Last month, President Xi sat down with around a dozen tech entrepreneurs, including the founders of Alibaba, Huawei, DeepSeek, **BYD Company (BYDDY)**, and Contemporary Amperex Technology (CATL).

In China, symbolism is king. And Xi's handshake with once-exiled Jack Ma screamed, "Tech's back."

As my friend and CIO of hedge fund Three Body Capital David Cunio told me in London recently, “When the state machinery tells you what it wants, we market participants do well to listen. This is a new bull market.”

Sitting down with Louis Gave

I had the pleasure of chatting with Louis Gave, CEO of Hong Kong money manager Gavekal—which manages over $1 billion—in London recently.

Louis has been investing in China for almost 30 years. I’m a big believer in boots-on-the-ground research. And when it comes to *really* understanding China, Louis is second to none.

I don’t take notes in interviews; I look people in the eye and listen. That said, here are some select insights from our chat…

China is a huge country with 1.4 billion people. Millions of people visit the mainland each year. Every major news outlet has an office there. Why, then, is it such an enigma?

Because investors always look at China with a negative bias. Their emotions cloud the facts. China now makes the best cars in the world. That’s a fact, but stating it gets you accused of being a CCP (Chinese Communist Party) shill.

Why were Western investors caught off guard by tech innovations coming out of China, like DeepSeek?

For years, our Beijing office would host at least one visitor from abroad every day. Then COVID hit. For three years, no visitor crossed our threshold. Foot traffic hasn’t picked up since restrictions eased.

Most CEOs and investors missed how China leapfrogged the West in industry over the last five years because no one from the West bothered to visit.

Reading Western media, you’d think China is a place of despondence and despair—that it’s permanently on the cusp of social disorder and revolution.

In reality, China’s tech game is leveling up fast.

It’s pulled ahead in 5G, even announcing a 6G satellite-to-Earth breakthrough at the beginning of January. It has a high-speed rail network… trains that zip through the country at 450 km/h… and is the biggest robot and auto producer in the world.

Look at BYD’s new car. It’s a hybrid, and it’s so efficient it can drive from London to Rome on a single tank of gas. Five years ago, nobody wanted to own a BYD. Now, everyone does.

Why should American investors pay attention to Chinese stocks?

Because when China enters an industry, you can kiss profits goodbye.

We saw this with solar panels, steel, and aluminum. Next, we'll see it in AI, cars, and chips. With DeepSeek entering the fray, I think OpenAI is cooked.

China plays what I call "the hunger games of capitalism." It has many players, is brutally competitive, and leaves lots of dead bodies (metaphorically speaking) along the way.

The narrative in the West is that China's economy is collapsing. What's really going on?

China deliberately pricked its own property bubble in 2018, when it decided to stop loaning money to developers. The economy is now emerging from that six-year bust.

I find it strange when people say China's economy is imploding because car sales, as just one example, are at record highs.

Which sectors of the Chinese stock market are most attractive?

Look at the recent gathering between President Xi and tech entrepreneurs. Of course, the big guys like Alibaba, Huawei, and ByteDance were there. But it was mostly leaders of hardware companies.

President Xi and the rest of the politburo are engineers. They're old-school communists. They believe if you don't have grease and dirt under your nails at the end of the day, you're not really working.

They generally distain software companies, especially ones like **DiDi Global (DIDIY)**—China's **Uber (UBER)**—which takes a tax on each transaction. That's why I prefer to own hardware companies.

What areas of Chinese technology are you most bullish on?

Autonomous driving is the next big thing. Today, in cities like Wuhan, a huge portion of the taxis are already self-driving. You could see stocks related to autonomous driving in China go nuts.

Historically, Chinese investors haven't been huge buyers of stocks. What changes that?

The Chinese are big gamblers. They're momentum players. If you visit the casinos in Macau and black comes up 10 times in a row, everyone at the table will bet black. Whereas in the West, we're more "reversion to the mean" investors.

Chinese investors will pile in when prices start rising. And, ultimately, local cash—not foreign funds—will drive the China bull market.

Consumers have also been given repeated "green lights" from Beijing that back a new equity investment culture in China.

Any other important insights for investors?

I've been bullish on gold, and it's amazingly gone up with both a strong dollar and real rates. But now with China looking up, it looks like gold is stalling out.

This gold run has been driven by the Chinese confidence crisis. Entrepreneurs have been scared stiff by the threat of tariffs and the regulatory crackdown. Why build a new factory against such uncertainty?

Instead, they kept their cash in the bank. Bank deposits in Hong Kong surged by over $200 billion in the past year. They also bought a ton of gold.

With consumer confidence returning in China, I think money comes out of gold and into Chinese assets.

China eats the world

China is climbing what I call the "tech tree."

A decade ago, it started making cheap Android smartphones for a few hundred bucks. Phones are simple: a screen, some code, wireless tech, and a battery. China flooded the world with budget models that work.

It then discovered making phones isn't all that different from making drones. A drone is just a smartphone with wings—chips, wireless tech, battery, done. China's DJI now dominates the global drone market.

Turns out electric vehicles (EVs) are supersized phones on wheels—bigger screens, bigger batteries, add a steering wheel. China mastered that, too. BYD passed **Tesla (TSLA)** in EV sales in 2024.

Robotics is the next rung on the tech tree before the big prize: chips.

China still lags **Nvidia (NVDA)** and **Taiwan Semiconductor (TSM)** today. But it's gaining ground—fast.

Louis told me it's stolen dozens of engineers from Taiwan Semiconductor over the past few years by offering them life-changing money to work at Shanghai-based Semiconductor Manufacturing International Corporation (SMIC).

DeepSeek shocked markets. But the real bomb will go off the day China drops a chip that's just a hair off Nvidia's pace.

As I said, even if you won't touch Chinese stocks, you can't ignore the threat they pose to your portfolio. Here are five tech areas where China demands our attention...

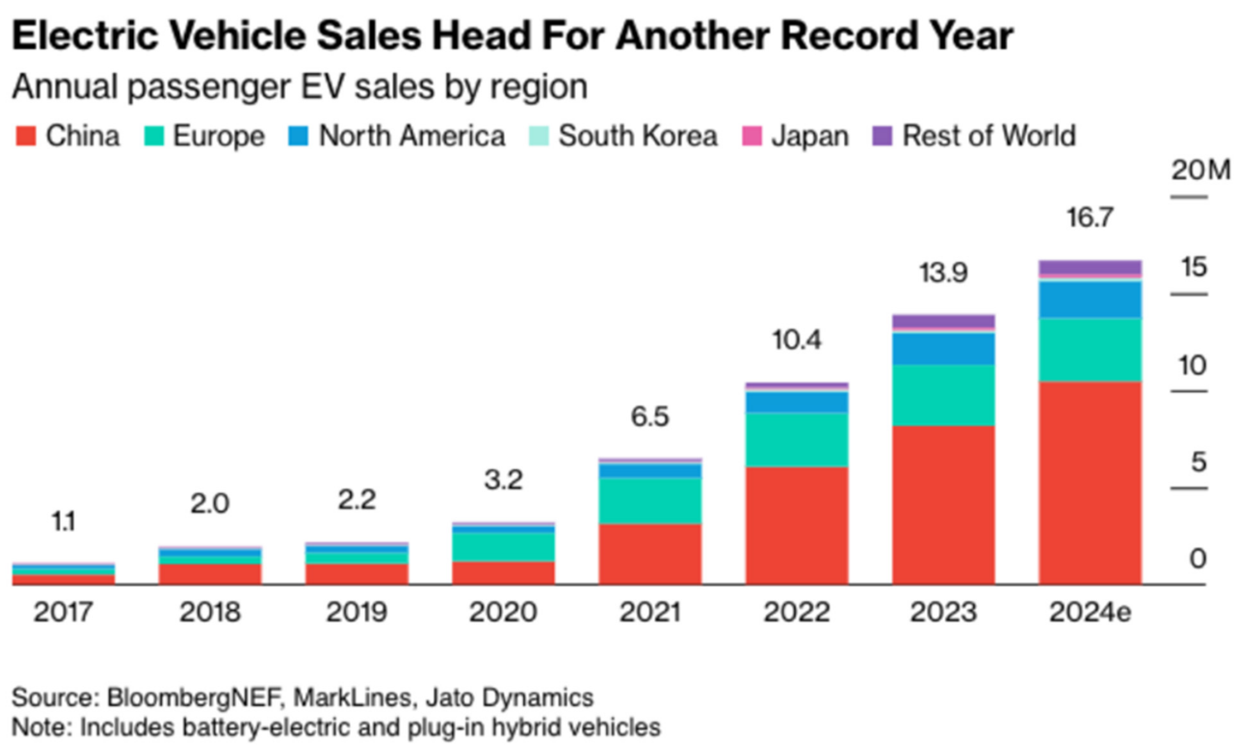
#1: EVs and batteries

Who's the king of EVs and batteries? China wears both crowns. BYD snatched the top EV spot in 2024, pumping out 1.77 million cars and edging out Tesla.

CATL, the world's biggest battery maker, owns 40% of the global market and keeps churning out game-changing tech.

(**Note:** CATL trades in China for now. That means local investors only. Louis told me a Hong Kong IPO's coming in 2026, which would open the door for foreigners. There's a sneaky, backdoor way to get in early. More on that below.)

China has the world's largest EV market, with over 10 million battery-powered cars sold in 2024:

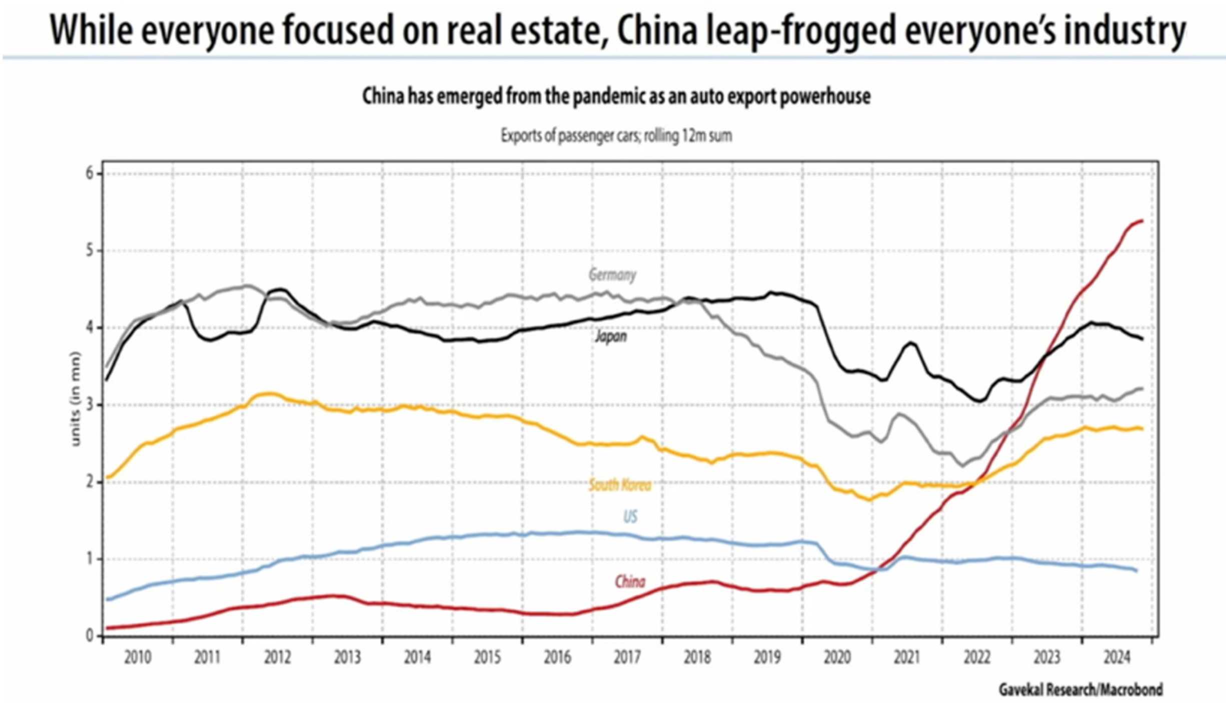


Source: Bloomberg

You can measure EV adoption in Chinese cities by counting the license plates. EVs are green; gas is blue. Walk around Beijing or Shanghai, and you'll notice close to half of all cars are now electric.

A few years ago, there were no Chinese cars on the roads here in Europe. Now, they're everywhere! BYD just opened a new, flashy showroom five minutes from my house.

Did you know China now exports more cars than any other country, ever? Talk about leapfrogging your competition.



Source: Gavekal Research

It's fascinating to see China go from "can't make their own gas cars" to "dominating EVs" in just a short year. The tech tree at work.

BYD even built the world's largest car carrier ship. Check out the BYD Explorer No. 1 with 5,000 EVs on board:

Source: Armazene

"Made in China" used to mean cheap, flimsy goods. Time to update our prior beliefs.

Here in Ireland, BYDs are half the price of a BMW, Tesla, or Volkswagen. They're also better than any other car I've ever sat in.

Everything in the car is voice-controlled. It's like a giant Alexa on wheels. I don't just mean playing music, either. You can adjust the height of the steering wheel and set the temperature easily.

Some models have UV-protected sunroofs that block infrared rays, meaning heat is no longer a problem inside the car. Others come with mini fridges. Self-parking features are standard.

I heard Marc Andreessen recently tell a story about Dubai's royal family replacing its fleet of luxury German SUVs with Chinese cars. I'm pretty sure they didn't switch because they were strapped for cash. Chinese models are simply superior.

#2: Robotaxis

Sean Maher is one of the smartest and most hard-working analysts I know. He runs Entext Economics. Clients pay top dollar for his research. Sean told me a funny story when I met him in London.

Former UK Chancellor of the Exchequer George Osborne went to China recently and took a robotaxi. After 10 minutes of experiencing a computer perfectly navigating China's busy roads, his reaction was: "Oh, my god. Autonomous driving is real."

Baidu (BIDU)—China's **Alphabet (GOOG)**—has robotaxis running in 19 cities, with 1,000 vehicles in Wuhan alone. That's 3X more cars operating in an area 4X the size of Waymo's San Francisco operations.

Sean toured China for three weeks last year and told me robotaxi company **Pony.ai (PONY)** is on par with Waymo. It's also operating self-driving buses with no steering wheel or driver's cabin. How many investors know this?

I increasingly expect China to roll out robotaxis everywhere before the US. It's not that Chinese self-driving tech is much better. It's that authorities are way more tolerant of self-driving accidents.

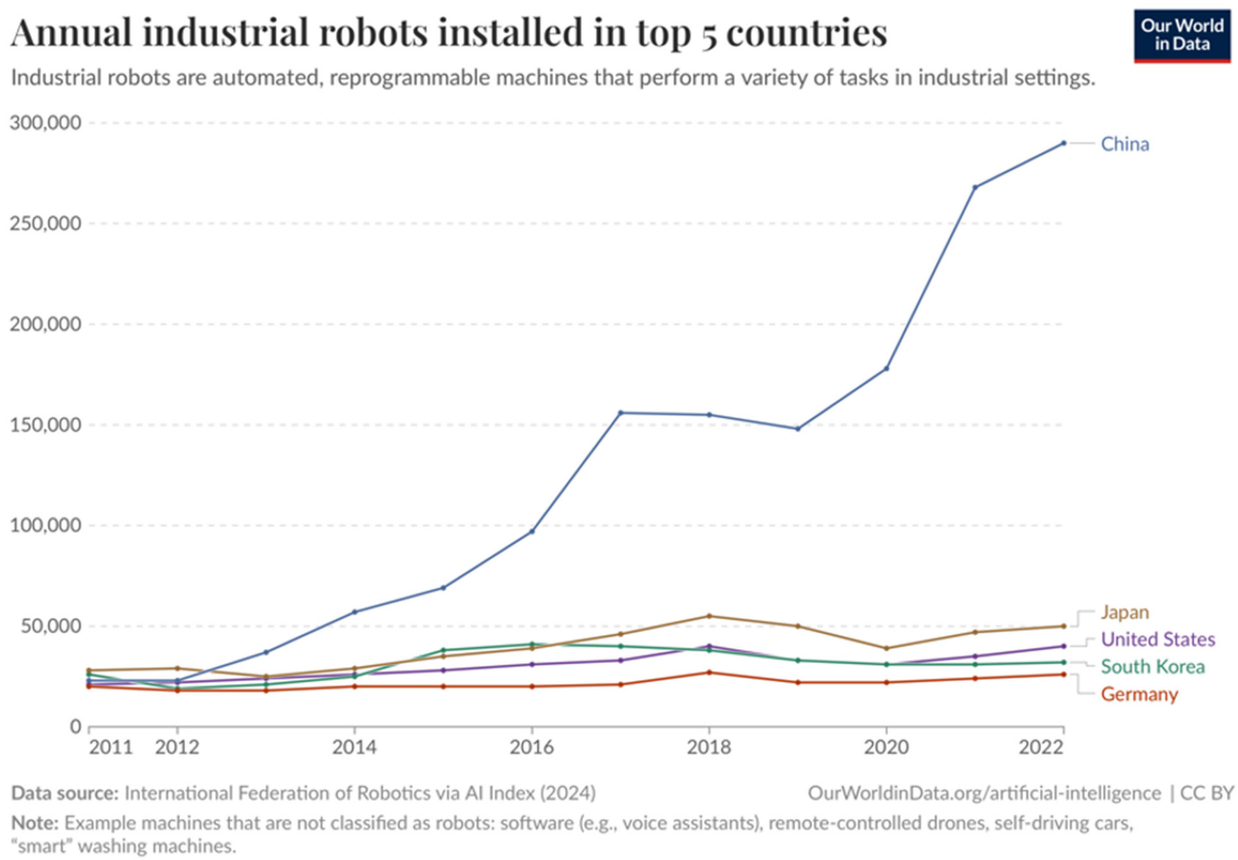
A Baidu robotaxi hit a pedestrian in Wuhan last month. The local government essentially ignored the story.

We know self-driving cars can save thousands of American lives each year. Problem is, even one robotaxi road death is front-page news.

I don't want anyone to get hurt. But it seems China decided if you need to hit some people with self-driving cars to save thousands of lives down the road, it's worth it.

#3: Robotics

China is the world's largest and fastest-growing robotics market. In 2023, it installed almost 300,000 industrial robots. That's more than the rest of the world combined.



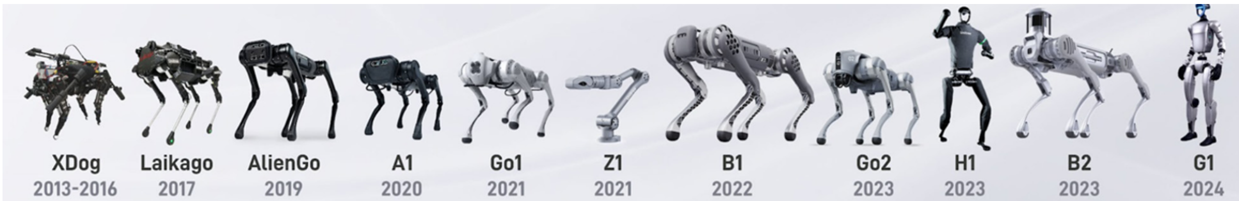
Source: Our World in Data

In short, this is one of the reasons China can make phones, drones, cars, and everything else faster and cheaper than we can.

You've surely seen Boston Dynamics robots doing backflips, climbing stairs, and opening doors. These robots aren't available to the public but likely cost $50,000+.

China's Unitree makes a robot dog that looks eerily similar to Boston Dynamics' model and sells it for $1,500. It can "run" 30 mph, climb hills, and—with its on-board AI brain—even teach you physics.

Here's Unitree's droid selection:



Source: Unitree Robotics on YouTube

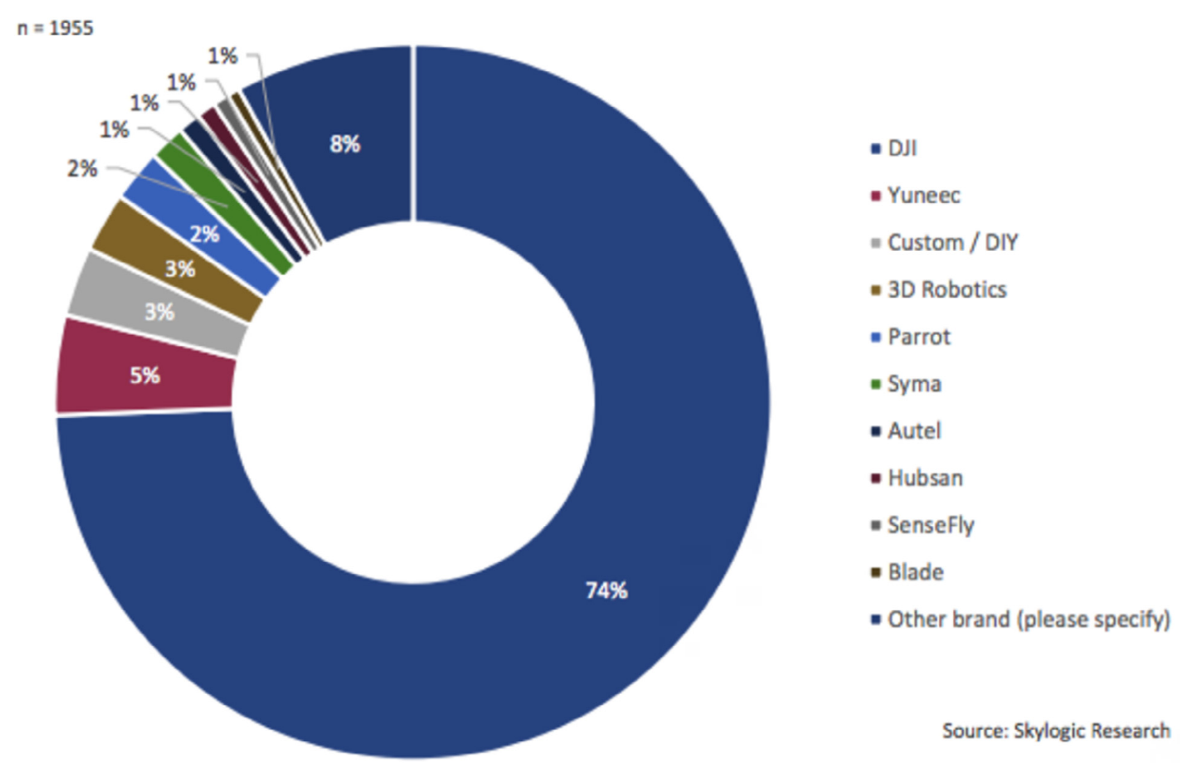
China is "all in" on robotics. Companies like Siasun and Unitree are churning out thousands of affordable, advanced robots each month.

Sean told me China is unmatched when it comes to the pace of iteration. An engineer sketches up a mock design and hands it to a manufacturer in Shenzhen, who'll have a prototype ready in a few days. That's a huge advantage in emerging sectors like robotics.

#4: Drones

I've talked about why drones are the most underrated technology in the world today. Sure, they'll deliver your burrito in five minutes flat. They'll also decide wars, as we're seeing in Ukraine today.

China's DJI dominates the drone world, controlling 74% of the market:



Source: Skylogic Research

DJI makes a drone every minute, seven days a week. Both Ukraine and Russia use Chinese-made drones on the battlefield. Where does the US military get most of its flying robots? You guessed it… DJI.

Even drones made in Europe and America are cobbled together using mostly Chinese parts.

(**Note:** The US and other countries have started moving away from Chinese drones because of security concerns. When the American Security Drone Act goes into effect in December of this year, it will prohibit the use of federal funds for purchasing or operating drones from China and some other covered countries.)

A former Navy SEAL—who's legendary in the special forces community—recently told me drones are the biggest disruption to warfare in 1,500 years.

Giant warships were the old way to flex military might. Now, it's showing off a 10,000-strong drone army. One giant battleship vs. 10,000 kamikaze flying robots. There's only one winner.

China is way ahead when it comes to flying robots. Check out this Lunar New Year light show. Those are thousands of drones dancing in midair, perfectly in sync:

Source: @JimHarris on X

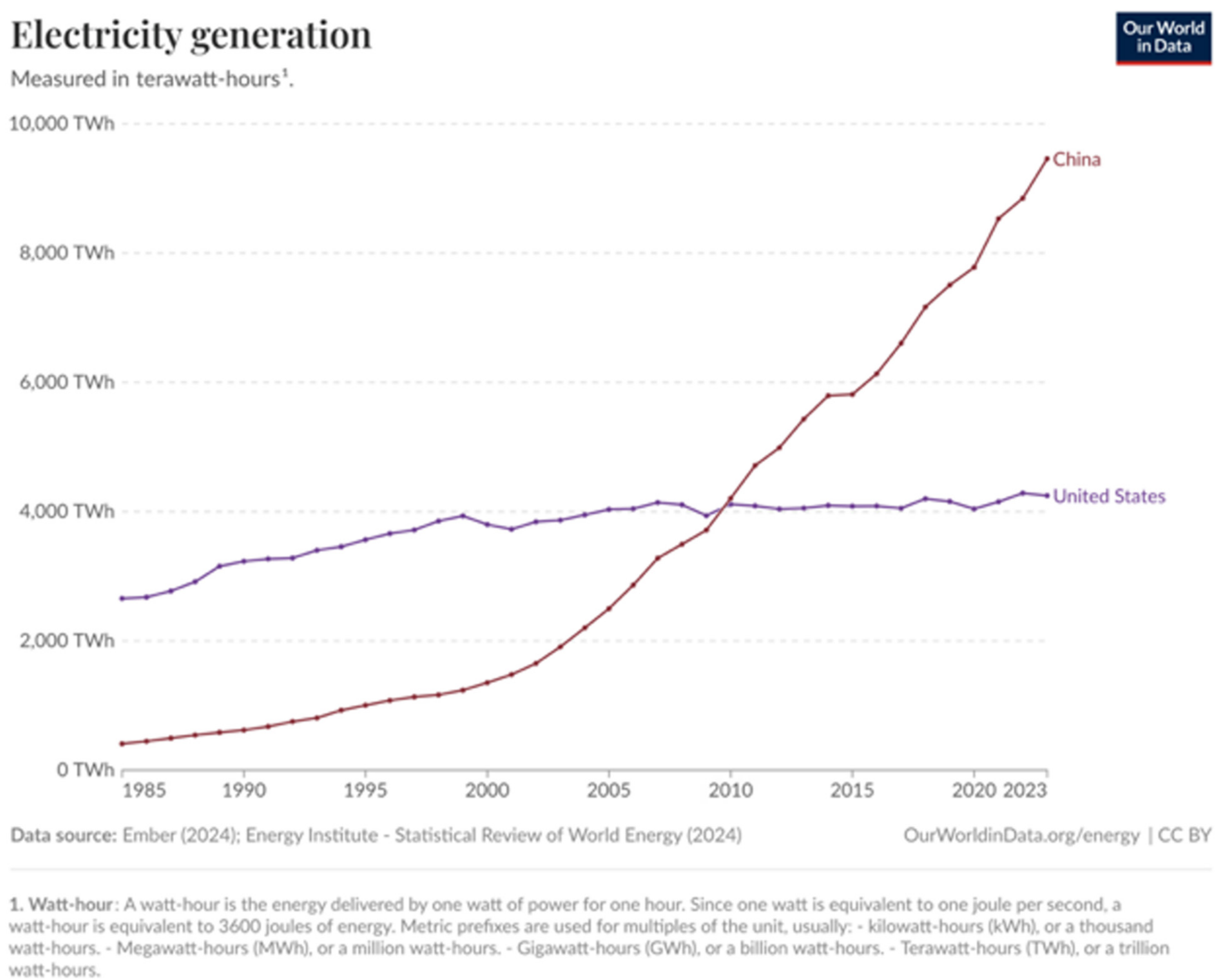
Drones will change our world in so many ways, and they're not just killing machines.

Within a few years, drones will patrol the skies above every major sporting and public event to keep us safe. They'll fight forest fires… catch criminals… transform the delivery of everything… and save lives by flying defibrillators to heart attack victims faster than any ambulance.

#5: Energy

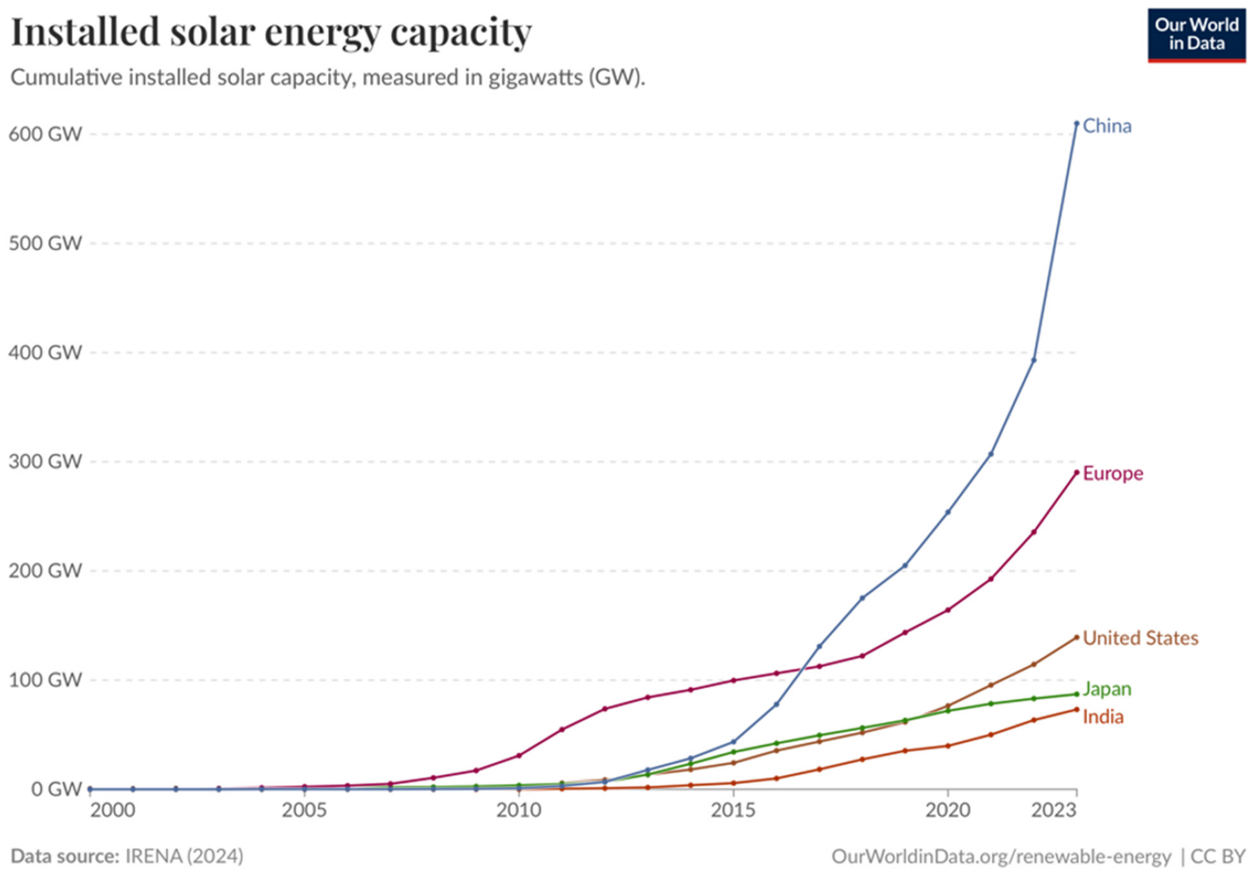
Energy is the master resource. Cheap, abundant energy is the bedrock of all innovation. When power is cheap, everything goes on sale. Factories can produce more. Businesses make more money. It's like handing out stimulus checks to the entire economy.

As someone who believes a strong, energy-abundant America is good for the world, it's concerning that China generates twice as much power as the US:



Source: Our World in Data

China is the world's largest importer of oil and also burns a ton of coal. But did you know it's the world's largest producer of solar power, too?



Source: Our World in Data

Just last year, it installed more solar and wind power than Europe did in its entire history. No surprise, given Chinese firms manufacture 90% of the world's solar panels.

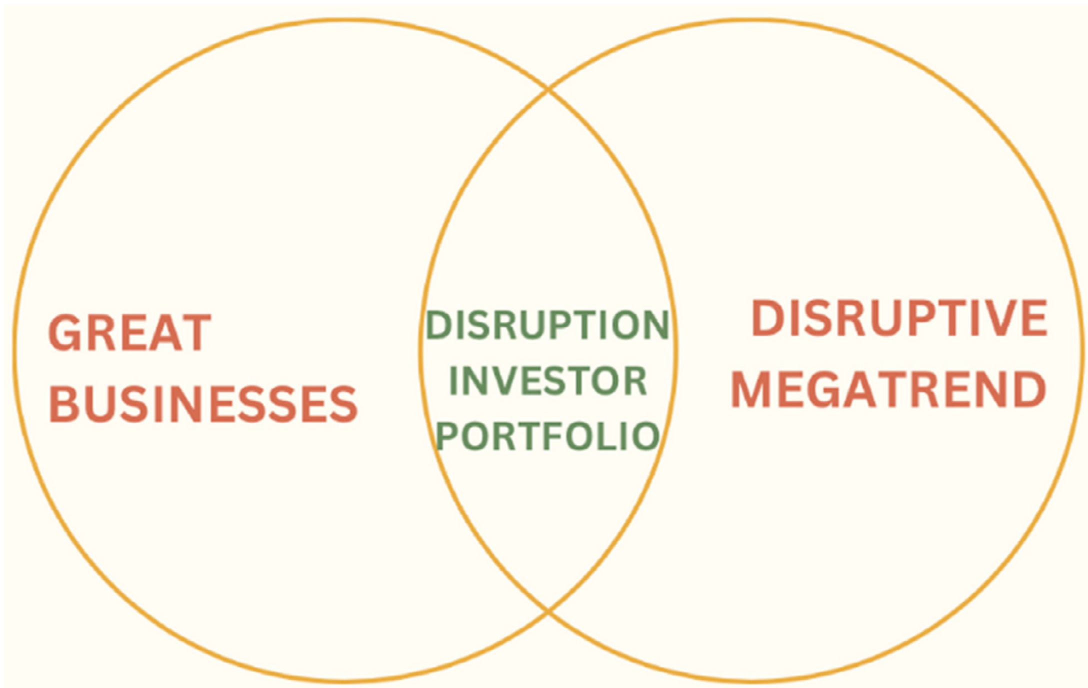
China is also racing ahead in nuclear energy. With 27 reactors under construction, it's on track to surpass America's total nuclear capacity by 2030.

It's also building the world's first commercial small modular reactor (SMR). Linglong One is the first SMR to get a win from the International Atomic Energy Agency. Once up and running, it will generate enough power for half a million homes.

The end of American exceptionalism?

Our focus in *Disruption Investor* is investing in great businesses profiting from disruptive megatrends.

Only stocks that hit the sweet spot in the middle of our Venn diagram can make it into the *Disruption Investor* portfolio.

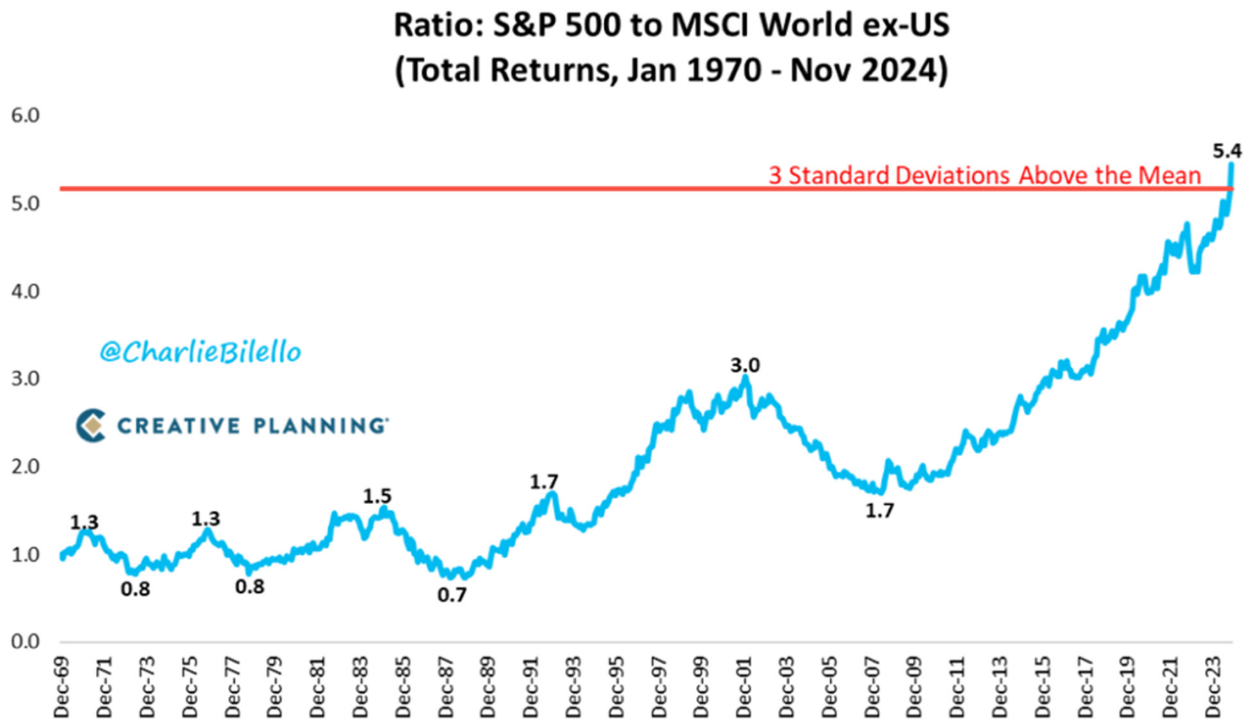


Over three decades' worth of collective investing experience has taught Chris and me that if you find exceptional businesses tapping into big disruptions, success naturally follows.

But occasionally, tectonic plates shift beneath the market. These are moments that demand your full attention. My conversations with half a dozen hedge fund managers and analysts over the past few weeks suggest we're approaching one of those turning points.

What's brewing? The potential end of America's 15-year market supremacy. Since 2008, US stocks have completely dominated the rest of the world.

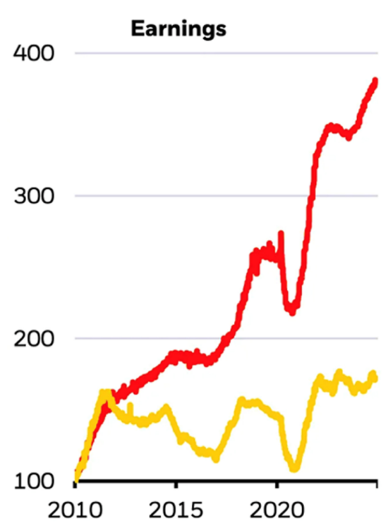
Look at the ratio of the S&P 500 versus international markets. It's been a one-way freight train:



Source: @CharlieBilello on X

And for good reason!

US stocks outperformed because US companies grew earnings much faster than their international peers. This chart from BlackRock shows US corporate earnings (red) compared to the rest of the world (yellow) since 2010:



Source: BlackRock

Let's run through a list of the most important innovations of the past decade and the companies leading them:

- Smartphones: **Apple (AAPL)**
- Digital ads: Alphabet
- Social media: **Meta Platforms (META)**
- Cloud computing: **Amazon (AMZN)** and **Microsoft (MSFT)**
- Artificial intelligence: Nvidia
- Electric vehicles: Tesla

Notice a pattern? All US companies.

America dominated innovation, allowing it to grow profits faster than everyone else. Stock prices soared.

Investors have complained for years that US stocks were too expensive. The S&P 500 now trades at 22X forward earnings versus 14X for international stocks. That's the widest valuation gap in history.

I'd argue this valuation premium was justified because US companies dominated innovation. But now China is neck and neck (or leading) America in many of the most important technologies for the next decade.

To be clear, this is a good thing for humanity. A more competitive tech landscape will accelerate the overall pace of innovation.

And US companies are pushing boundaries in sectors like AI… nuclear… biotech… drones… supersonic jets… and space.

The small American companies that execute and grow rapidly in these emerging industries will still be phenomenal investments. We cover these cutting-edge growth companies in our new advisory, *Disruption_X*.

But our research suggests China's tech ascendency could melt away some of the valuation premium large US stocks have enjoyed versus the rest of the world.

Ultimately, that's healthy for the market. Big US tech stocks have been "too easy" lately, and many investors wrongly assume they'll always dominate.

This doesn't at all mean that you should sell all your US stocks. Great disruptors will continue to thrive. But it does mean you should consider adding at least a small slice of Chinese stocks to your portfolio.

DeepSeek was the first shock. It won't be the last.

“What drives stock prices?”

Wall Street veteran and co-founder of DataTrek Research Nick Colas posed that question over breakfast the last time I was with him in New York.

Nick answered his own question: “Surprise.”

Every stock price is set by investors’ consensus expectations. When new information enters the market that doesn’t match these expectations, that gap creates a “surprise” that changes prices.

US companies outpaced the rest of the world because they dominated innovation, which creates more positive surprises.

One of the biggest future surprises will be investors waking up to the reality that China is transforming into a global tech leader. Expectations for China are so low right now, it wouldn’t take much to surprise to the upside.

That’s why our research suggests China could outperform the US over the coming years. Even if you don’t like that idea, we must be open-minded to the possibility.

While challenges remain, the combination of innovation-driven growth, government support, attractive valuations, and shifting sentiment creates a potent cocktail for potential outperformance.

The risk-reward profile for Chinese stocks is increasingly attractive. China looks like it’s beginning a new bull market. It’s time to explore the opportunity before the narrative fully shifts and the crowd piles in.

Before I hand you off to Chris, an important point about investing in China:

China is littered with frauds. Remember Luckin Coffee, aka “China’s Starbucks?” In 2019, it got caught inflating sales by $310 million. It faked selling millions of cups that never existed!

This is why we prefer to invest in Chinese companies that make real stuff. You can’t fake hardware. I don’t need to take anyone’s word that BYD makes world-class EVs because I’ve sat inside them.

Our top 5 Chinese stocks

I (Chris) don’t like Chinese stocks.

I learned to avoid them the hard way…

Back in 2009 and 2010, I got burned by a couple small Chinese battery stocks. Their technology and growth looked incredible. But it was all a lie.

In short, they grossly misrepresented financial results and the capabilities of their technology and manufacturing to scam investors out of millions upon millions of dollars.

This is par for the course with China. Financial reporting is opaque at best… and downright fraudulent at worst.

And then there's China's communist government…

At any moment, the CCP could decide to seize a Chinese company's assets (or those of a foreign company operating in China) or make them operate in ways detrimental to shareholders all in the name of "common prosperity."

In other words, when you invest in Chinese stocks, you take on significant additional risk.

But the way things are playing out today suggests to us that ***not*** having some exposure to Chinese stocks adds even more risk to your portfolio.

So we're going to buy an ETF of Chinese stocks as a hedge to our *Disruption Investor* portfolio.

Remember, the goal of hedging is to protect your capital from specific risks during specific time periods. We achieve this by owning assets whose prices will move in the opposite direction from the prices of assets we want to hedge.

If the valuation premium enjoyed by US tech stocks continues to melt away as China's tech sector becomes more favorably viewed by investors, then owning an ETF of Chinese stocks should work as a hedge.

Now, although I don't like Chinese stocks, I still follow them because of their competitive threat to others.

So, I've compiled a list of my "favorite" Chinese tech stocks.

The top five on my list are:

1. BYD Company
2. CATL
3. **Xiaomi Corp. (XIACY)**
4. Alibaba Group Holding Ltd.
5. Baidu Inc.

The ideal ETF hedge, in this case, would be one that counts all five of these stocks among its top holdings.

But before I get into ETF specifics, let me give you a quick rundown of these companies…

BYD

BYD, or Build Your Dreams, is known for its "new energy vehicles" or NEVs, which include both fully electric vehicles and plug-in hybrids.

As Stephen mentioned earlier, BYD's NEVs now outsell Tesla's EVs.

I expect continued robust growth from the company due to China's rapid EV adoption and global expansion. And the fact that Warren Buffett's **Berkshire Hathaway (BRK.B)** owns a sizable chunk of BYD (just under 5%) adds credibility.

CATL

CATL is the world's largest EV battery maker, with a market share of about 40%. Its batteries power vehicles from major manufacturers like Tesla, BMW, and **Ford (F)**.

It's also an innovative company investing heavily in next-generation battery tech to grow its leadership position—both in China and globally—in the coming years.

Beyond EVs, demand for stationary energy storage is rapidly expanding as countries integrate more renewables (solar and wind) into their grids. And CATL's expertise in large battery projects opens another strong growth channel.

Xiaomi

Xiaomi is the second-largest smartphone maker globally, just behind Samsung. Its reputation for delivering feature-rich devices at relatively low prices has led to strong brand recognition and customer loyalty.

Beyond smartphones, Xiaomi offers a broad range of other consumer electronics like smart TVs, wearable fitness trackers, tablets, robotic vacuums, and air purifiers. The company also makes software… and it recently entered the EV market, too.

In 2024, Xiaomi started selling its first car, the SU7. Ford CEO Jim Farley made headlines after driving one for six months and saying he didn't want to give it up because it was "fantastic."

Alibaba

Alibaba is often called the "Amazon of China."

It's grown into one of the largest companies in the world on the back of its e-commerce platforms and cloud computing services. It also has a digital media and entertainment business and one of the world's largest mobile payment platforms.

Importantly, Alibaba's now making a big push into AI. The company just announced plans to invest $53 billion into AI infrastructure over the next three years. That exceeds the amount it's spent on AI and cloud computing over the past decade.

Baidu

Baidu is often called the "Google of China."

It dominates China's search engine market and offers a variety of services, including Baidu Maps, an online encyclopedia called Baidu Baike, and a video streaming platform called iQIYI.

The company also has a rapidly growing AI cloud services business that includes chips, cloud infrastructure, and foundation models. And it's expanded into autonomous driving technology as well.

A smart bet on China's market leaders

Like Stephen said earlier, "You can't fake hardware." That's why BYD, CATL, and Xiaomi are compelling.

You can see all the BYD cars on the road. You can see all the people talking and texting on Xiaomi smartphones. And, if you were so inclined, you could see the CATL batteries powering nearly half the EVs in China and throughout the world.

Meanwhile, while President Xi doesn't particularly like software, he knows folks are going to find a way to use services like those provided by Alibaba and Baidu, and he'd much rather they use Chinese companies than the likes of Google and Amazon.

(Note: Access to Google and Amazon services is restricted in China, but there are workarounds through VPNs and local partners.)

Remember when I said earlier that the ideal ETF hedge would be one that counts all five of these stocks among its top holdings? Well, there is no ETF available to US investors that holds all five stocks because CATL only trades in China for now.

But there *is* an ETF we can buy that holds large positions in BYD, Xiaomi, Alibaba, and Baidu. It's called the **iShares China Large-Cap ETF (FXI)**.

FXI holds 51 large-cap Chinese stocks across all sectors of the economy. Alibaba is its largest holding… Xiaomi is fourth… BYD is sixth… and Baidu is thirteenth. So, it gives us almost exactly what we want.

This ETF has gained about 16% so far in 2025 and should gain much more in the months ahead if investors' recognition of China's competitiveness continues to grow.

Since we're using FXI as a hedge, we're going to put a wide stop of 50% on it to try to ensure we don't get shaken out too soon.

Action to take: Buy a full position's worth of the iShares China Large-Cap ETF (FXI) and set a 50% stop.

For the most up-to-date guidance on our current positions, click here to view the portfolio online.

Chris Wood Stephen McBride

Chris Wood and Stephen McBride

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